

HEADLINE JUDGMENT

Note: 5 Aug figures are intraday prints; the last confirmed close is Tuesday 4 Aug. The integrity check clears — the 4 Aug row has refreshed with true closes. **Score HOLDS at 27/30. No channel moved.** Two things happened, and they run in opposite directions. First, the market took the war premium out with both hands. **Brent closed \$77.93 on Tuesday, \$3.16 below Monday and \$10.00 below Friday's close — the largest two-session fall since 6 May and the lowest close since 10 July**, and it did so alongside a 6.3 bp fall in the 10Y close and 5.3 bp in the 30Y. **That drags Stage-4 Threshold B out of satisfaction for the first time since 28 July**: the 30Y closed 5.1743% against its 5.20% leg and the 10Y 4.6126% against its 4.65% leg, ending a four-close run that included two war records. It also puts the oil channel's downgrade anchor within **\$5.45** — the narrowest that gap has been since 10 July. Second, and this is why nothing moved, the diplomacy this monitor could not source yesterday has acquired a real and differently-constituted form. **Iran now publicly confirms a negotiation — but with Oman, not with Washington.** Foreign ministry spokesman Esmail Baghaei said on Tuesday that Tehran is in bilateral talks with Muscat on safe inbound and outbound shipping lanes; Secretary of State Rubio said there had been 'progress made in those talks, but not finality yet'; and Treasury Secretary Bessent told CNBC 'there is a chance we may have a deal today or tomorrow to open the strait.' Qatar's foreign ministry spokesman said in the same 24 hours that no direct US–Iran talks are scheduled. This is the first negotiating track of the war that both sides confirm, and it is the first credible route to a maritime downgrade. It is also not a stand-down: **a Liberian-flagged bulk carrier, the Minoan Pioneer, was struck about 20 nm north-east of Khasab on Tuesday with one crew member missing**, and the deal on the table is conditional on Washington lifting a blockade no US official has publicly committed to lifting. Five of six channels remain maxed. Only oil, at 2/5, can raise this number — and for the first time it is closer to falling than to rising. Sequencing 26 → 27 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

5 Aug 2026 readings are intraday prints from the Singapore morning. The 4 Aug row has refreshed and is a confirmed close; the integrity check clears. d/d is 5 Aug intraday vs the 4 Aug close; w/w is vs the 29 Jul close (five sheet-rows back); vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force. The front-month/active gap has narrowed to \$1.41 in Brent as the new active contract has converged; the scored CO2 continuation series is unaffected.

Benchmark	Intraday 5 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$77.76 /bbl (H 77.78 / L 77.07)	−\$0.17 (−\$10.33 w/w)	from \$72.48 (+7.3%) — a \$5.28/bbl premium, the narrowest of the war since 10 Jul . The intraday range is 71 cents and the whole session has traded below Tuesday's close: the market is not giving the premium back, it is sitting on the lows. Active COA prints \$79.17	CO2 Comdty (Close)
Brent · 4 Aug close (last confirmed)	\$77.93 /bbl	−\$3.16 vs the 3 Aug close \$81.09	\$17.07 below the \$95 trigger on a close basis; \$5.45 above the \$72.48 downgrade anchor, the narrowest gap since 10 Jul . The lowest close since 10 Jul, and \$10.00 below Friday's \$87.93 — the largest two-session fall since 6 May. Tuesday's close ran \$3.99 BELOW my Tuesday-morning snapshot, the largest downside reconciliation gap this monitor has recorded , four sessions after the largest upside one.	CO2 Comdty (Close)
WTI front-month	\$74.17 /bbl	−\$0.23 (−\$7.87 w/w)	from \$67.02 (+10.7%) — the CL2 artifact against the active contract persists but has narrowed, CLA prints \$75.44 against CL2's \$74.17. The 4 Aug close of \$74.40 is the lowest since 10 Jul	CL2 Comdty (Close)
Brent–WTI spread	\$3.59 /bbl	wider by \$0.06 on the day	\$3.73 on the active contracts (COA \$79.17 / CLA \$75.44). The spread has now held between \$3.14 and \$3.59 for four sessions after halving from \$6.44 on the 31 Jul close. The Hormuz-specific premium that came out on the de-escalation trade has not gone back in, and Tuesday's \$3.16 fall in Brent took WTI down with it rather than re-widening the spread	derived
Henry Hub natural gas	\$2.693 /MMBtu	+\$0.011 (−\$0.029 w/w)	from \$3.06 (−12.1%) — the 4 Aug close of \$2.682 is the lowest since 29 Apr . US gas is now further below pre-war than at any time in the war except late April; twenty-two weeks in, the Hormuz/LNG-routing signature is intact and this remains a routing shock, not a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€55.100 /MWh	−€0.821 (−€5.462 w/w)	from €31.23 (+76.4%) — the lowest reading since 16 Jul , €8.55 below the 24 Jul war record of €63.65 and €3.97 below the 31 Jul close. European gas has fallen in three consecutive sessions and is now giving back the de-escalation trade in the same direction as crude, which it did not do last week	TZTA Comdty (Close)
Japan/Asia LNG (4 Aug close — no 5 Aug print)	¥3,440	+¥19 vs the 3 Aug ¥3,421	from ¥1,669 (+106.1%) — the 4 Aug print is a true close; there is no 5 Aug print, flagged and NOT carried forward. Asia LNG has now risen while TTF fell for three sessions, the widest divergence between the two since mid-July. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

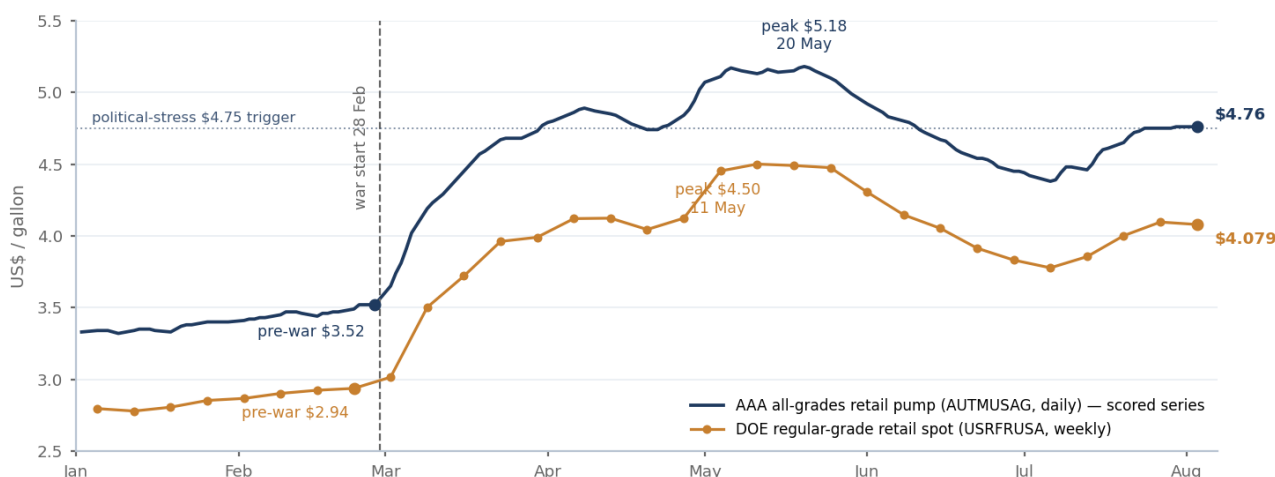
5 Aug 2026 yields are intraday. The 4 Aug close is confirmed and is the reading on which every trigger and Stage-4 test below is judged. d/d is vs the 4 Aug close; w/w vs 29 Jul. Tuesday's US session moved the whole curve 5.8 to 7.3 bp lower than the Singapore-morning snapshot — see section 4; every field in this table came in below the values published for it yesterday.

Tenor	Yield (%) — intraday 5 Aug	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.20	+1.0	-7.1	+82.7 (from 3.37%) — the front end has given back 8.9 bp from the 31 Jul close, more than the long end	USGG2YR Index
5-year UST	4.33	+0.9	-7.4	+83.3 (from 3.50%)	USGG5YR Index
10-year UST	4.62	+1.0	-5.5	+68.5 (from 3.94%) — the 4 Aug close of 4.6126% falls BELOW the 4.65% Stage-4 leg for the first time since 28 Jul , ending a four-close satisfied run. This morning's 4.6228% is 2.72 bp below the leg. The war record is the 4.7347% of 31 Jul, now 12.2 bp away	USGG10YR Index
30-year UST	5.18	+0.6	-2.0	+57.0 (from 4.61%) — the 4 Aug close of 5.1743% falls BELOW the 5.20% Stage-4 leg , 12.43 bp above the 13 May auction stop against 17.74 bp on Monday, and 17.43 bp above the 5.00% downgrade line. This morning's 5.1806% is 1.94 bp below the leg. The war record is the 5.2724% of 31 Jul	USGG30YR Index
2s10s spread	+41.9 bp	-0.0	+1.6	-13.8 (still flatter than pre-war) — the curve has moved 2 bp in three sessions while the level of yields fell 6 to 7 bp, so this is a parallel unwind rather than a change in curve shape. It remains 17.6 bp off the 24 Jun war low of +24.25 bp	USYC2Y10 Index
10Y breakeven inflation	2.229	+0.2	-4.1	-2.8 (from 2.2569%) — the 4 Aug close of 2.2278% is the first close BELOW the pre-war anchor since 28 Jul . Spot inflation compensation has now fully round-tripped the war premium it built in July; the forward has not	USGGBE10 Index
5Y5Y forward inflation	2.317	-0.1	-1.3	+17.5 (from 2.14%) — the 4 Aug close of 2.3180% is a SIXTH consecutive close above the 2.30% trigger that fired this channel 4→5 on 31 Jul. It is the third consecutive decline from the 2.3597% war record, but it has given back only 4.17 bp in total while spot compensation gave back 5.68 bp and crude gave back \$10	USGG5Y5Y Index
SOFR (blank 4 and 5 Aug)	3.65	—	no print	last printed 3.65 on the 3 Aug close, unchanged on the week; 4 and 5 Aug are blank, flagged and NOT carried as fresh. Two consecutive dark sessions	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	99.850	5 Aug intraday	+2.24 (from 97.61)	Essentially unchanged this morning after Tuesday closed at 99.858 — the lowest close since 16 June and a fourth consecutive daily decline. The dollar did not firm on the de-risking; it fell alongside crude and yields, which is the signature of a US-rates unwind rather than a flight to quality. It is 1.04 below last Wednesday.
MOVE	77.56	4 Aug close (no 5 Aug print)	+4.18 (from 73.38)	Down 2.92 on the session and 5.46 from Friday's 83.02 , its lowest since 30 July. Rates volatility is still 4.18 pts above pre-war and 2.56 pts ABOVE the 75 line that forms the second leg of the Treasury downgrade — the narrowest that leg has been since 29 July, when the index printed 74.18 but the 30Y was at 5.20%. It is 52.44 pts below the 130 Stage-4 Threshold C. There is no 5 August print.
VIX	16.50	4 Aug close (no 5 Aug print)	-3.36 (from 19.86)	Up 0.64 and its highest since 30 July, on a session in which crude fell \$3.16 and the curve fell 6 to 7 bp. Equity volatility rose while rates volatility fell — a reversal of the divergence that has run for a fortnight, and worth watching rather than reading into. It remains a full 3.36 points below pre-war.
AAA gasoline	\$4.76 /gal	3 Aug print (4–5 Aug blank)	+\$1.24 (from \$3.52, +35.2%)	Political-stress score reference. The 3 Aug print has BACKFILLED at \$4.76 — a THIRD consecutive close above the \$4.75 trigger , following \$4.76 on 30 and 31 Jul. That reinforces the 4→5 upgrade fired last edition rather than changing it. The series is blank for 4 and 5 Aug, flagged and not carried. Note the basis: this is the all-grades series, not the regular-grade national average AAA publishes on its own site, which printed \$4.089 on 4 Aug. The two are not interchangeable and neither is re-based.
DOE gasoline	\$4.079 /gal	3 Aug weekly print	+\$1.14 (from -\$2.94, +38.9%)	Corroboration only. The weekly print flagged as missing last edition has BACKFILLED at \$4.079 for the week to 3 Aug, down 1.7 cents from \$4.096 , and it matches EIA's own Gasoline and Diesel Fuel Update released 4 Aug to the tenth of a cent. The corroborating retail series is now easing while the scored series holds — the first divergence between them since June, and a reason to watch AUTMUSAG's next print closely.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest confirmed print \$4.76 on 3 Aug; 4 and 5 Aug blank); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$4.079 for the week to 3 Aug, backfilled in this extract and down 1.7 cents). The dotted line is the \$4.75 political→5 threshold. The scored series printed exactly \$4.75 on 24, 27, 28 and 29 Jul, then \$4.76 on 30 and 31 Jul and \$4.76 again on 3 Aug — three consecutive closes through the line. The two series are diverging for the first time since June: the scored all-grades series is flat at its highs while the DOE regular series has turned down, and AAA's own regular-grade national average fell to \$4.089 on 4 Aug from \$4.099 a week earlier. Diesel is the outlier that keeps the channel elevated — EIA had on-highway diesel at \$5.348 for the week to 3 Aug.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 157	Closed since 28 Feb. The trackers disagree by an order of magnitude on the same days and are reported unreconciled. Kpler's all-crossings series has 106 crossings by 96 distinct vessels in the week to 2 Aug against 98 the week before, up 8%, with 43 of them (about 41%) route-undetermined. Windward logged 12 identified transits in the 24 hours to 2 Aug, 6 of them dark, and 312 GPS-jammed vessels in the Gulf, down 39% on its seven-day average. TankerMap counted 2 tanker transits on 3 Aug and ZERO on 4 Aug, a seven-day average near 1. straits.live put 2 Aug at 2 vessels against a typical 73. IMF PortWatch's latest record remains 23 Jul at 10 vessels against an 88/day baseline. CBS News reports 45 commercial vessels redirected since the blockade was reinstated, one more than the day before, with 2 boarded and 2 disabled cumulatively. War-risk cover was last quoted by Marsh on 22 Jul at 7.5–10% of hull value.	Kpler via Foreign Policy Journal / Windward / TankerMap / straits.live / IMF PortWatch / CBS News / Marsh via S&P Global
THE IRAN-OMAN CORRIDOR TALKS ADVANCE — AND FOR THE FIRST TIME IN THIS WAR BOTH SIDES CONFIRM A NEGOTIATION	Iranian foreign ministry spokesman Esmail Baghaei said on 4 Aug that Tehran is negotiating bilaterally with Oman on establishing safe inbound and outbound shipping lanes, respecting Iranian sovereignty and both states' security needs, and that 'the final results of these negotiations will be announced once concluded'. AP and CBS News report the architecture as inbound Gulf traffic via an Iranian-controlled route and outbound via an Omani-controlled route, with security and environmental fees split, broad outlines agreed and the implementation timeline unresolved — and conditional on Washington lifting its blockade of Iranian ports . Secretary of State Rubio said 'there's been progress made in those talks, but not finality yet'. Treasury Secretary Bessent told CNBC 'there is a chance we may have a deal today or tomorrow to open the strait' and, on tolls, 'I think it would be freedom of movement.' No agreement has been signed.	AP / CBS News / ABC News / Al Jazeera / CNBC
A bulk carrier was struck in the strait in the same 24 hours	The Liberian-flagged, Greek-owned bulk carrier Minoan Pioneer was struck by an unidentified projectile about 20 nm north-east of Khasab, Oman on 4 Aug, suffering a complete electrical blackout and a fire in the accommodation block, with one crew member missing ; the cause is unattributed. Separately the Indian vessel MSV Faize Noore Oliya capsized and sank after a projectile strike near Yemen with all 14 crew rescued, and the Houthis claimed a drone strike on Najran airport in Saudi Arabia, a claim not resolutely confirmed. Aramco's chief executive said recent Houthi attacks had no material impact on production capability. No Tier 1 outlet reported a new US or Israeli strike on Iran on 4 or 5 Aug; CENTCOM has issued no strike release since 29 Jul.	CBS News / AP / Splash247 / Riviera Maritime / CENTCOM
Washington talks the deal up; Qatar and Iran both say there is no US-Iran channel	President Trump said on 4 Aug 'we are, in fact, talking', and attributed his cancellation of the strike package to pressure from Qatar, Saudi Arabia and the UAE. Qatar's foreign ministry spokesman Majed al-Ansari said the same day that no direct US-Iran talks are currently scheduled , and that Qatar, Oman and Pakistan are working jointly to 'create appropriate conditions'. Pezeshkian said Iran will defend its borders but is 'not seeking to expand the war'. Reuters and CBS News reported that the US has expended 'virtually all' of its ATACMS and Precision Strike Missiles, with Pentagon spokesman Sean Parnell disputing the characterisation.	AP / ABC News / CBS News / Reuters / Al Jazeera
Two dated tests land today; the physical supply picture is unchanged	The Treasury quarterly refunding statement is due at 8:30am ET on Wednesday 5 Aug and the EIA Weekly Petroleum Status Report at 10:30am ET — both AFTER this Singapore-morning snapshot, and neither is in this edition. Monday's borrowing estimate of \$739bn for July–September stands, \$68bn above the 4 May projection. On the physical side nothing changed: OPEC+ added 188k b/d for September against effective spare capacity the IEA put at about 0.17 mb/d in July; Aramco's 400k b/d Jizan complex is targeted to restart about 15 Aug on a Reuters report citing IIR; Abqaiq and Damietta remain unreported since late July. US data on 4 Aug: JOLTS job openings 7.4 million and little changed, and the June goods and services trade deficit narrowing to \$73.3bn from a revised \$77.6bn.	US Treasury / EIA / Reuters / OPEC / IEA / BLS / BEA

2 · US economic shock — analysis with bond yields

The shock holds at 27/30 and no channel moved, but the composition of the risk changed more in this session than in the last three combined. The market de-risked hard: Brent's 4 August close of \$77.93 is \$10.00 below Friday's, the largest two-session fall since 6 May, and the entire Treasury curve closed 5.8 to 7.3 bp below the Singapore-morning snapshot. That has a mechanical consequence — **Stage-4 Threshold B, satisfied on four consecutive closes including two war records, is no longer satisfied** — and a directional one: the oil channel's downgrade anchor is now \$5.45 away, closer than at any point since 10 July. The news moved the other way in form but the same way in substance. The negotiation this monitor could not source on Monday exists after all, but it is an Iran–Oman corridor negotiation that Tehran confirms and a US–Iran negotiation that Qatar and Tehran both deny. That is a materially better-evidenced diplomatic track than the one revoked yesterday, and it is the first credible route to a MARITIME downgrade rather than an escalation one. It is not a stand-down: a bulk carrier was struck off Khasab in the same 24 hours with a crew member missing, and the deal is conditional on Washington lifting a blockade it has not offered to lift.

2.1 · Bond-yield transmission

5 Aug yields are intraday; the 4 Aug close is confirmed and every trigger runs off it. No channel moved. Score holds at 27/30.

(i) Treasury — held at 5 (max), and Stage-4 Threshold B has LAPSED. This is the move of the edition even though no score changed. The 30Y closed 5.1743% on 4 August and the 10Y 4.6126%, so both legs of Threshold B failed on the same close — the first failure since 28 July and the end of a four-close run that included the 5.2724% and 4.7347% war records of 31 July. This morning's 5.1806% and 4.6228% leave the threshold unsatisfied on a second session, by 1.94 bp and 2.72 bp. The lapse should be read precisely: it does not repair the long end, which still sits 57.0 bp above its pre-war anchor and 12.43 bp above the 13 May auction stop, and it does not move the channel, which is at its maximum and governed by a downgrade requiring a 30Y close under 5.00% **with MOVE** under 75. Those legs still fail by 17.43 bp and 2.56 pts. But both have narrowed materially: on Monday they failed by 22.74 bp and 5.48 pts. MOVE closed 77.56, down 2.92 on the session and 5.46 from Friday's spike, its lowest since 30 July. What makes this the wrong session to conclude anything is the calendar: the quarterly refunding statement lands at 8:30am ET today, hours after this snapshot, against Monday's \$739bn borrowing estimate and 6 May guidance holding coupon sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn 'for at least the next several quarters'. A long end whose 30Y closed 5.3 bp lower into that statement has pre-positioned for the guidance to survive.

(ii) Oil — held at 2, and for the first time in the war it is closer to a downgrade than an upgrade. The last confirmed close is \$77.93 (4 August), \$17.07 below the \$95 upgrade trigger and **\$5.45 above the \$72.48 downgrade anchor** — the narrowest that gap has been since 10 July, and narrower than the \$8.61 of Monday. Brent has fallen \$10.00 in two sessions from the 31 July close, the largest two-session decline since 6 May, and prints \$77.76 this morning in a 71-cent range entirely below Tuesday's close. WTI's \$74.40 close is likewise the lowest since 10 July. The downgrade requires **both** legs: a mediated pause AND a close at or below \$72.48. The price leg is now within reach on any two sessions like the last two. The pause leg is NOT satisfied and the monitor is explicit about why: a corridor negotiation is not a pause, and a bulk carrier was struck in the strait on the same day the negotiation was confirmed. The physical case for a higher number is also unchanged — effective OPEC+ spare capacity was roughly 0.17 mb/d on the IEA's July estimate so September's 188k b/d is a quota rather than a cargo, Jizan's 400k b/d is out to about 15 August, Abqaiq and Damietta are unreported, and the strait is shut on day 157 — which is precisely the point. The market has repriced the probability of a settlement, not the physical balance. If the corridor deal is signed, this channel can fall to 1 and take the score with it; if it is not, \$77.93 with 0.17 mb/d of spare capacity is a fragile price.

(iii) Escalation risk — held at 5 (max). The downgrade candidate is re-opened, on a different and better-sourced track, and still not taken. Yesterday this monitor revoked a downgrade candidate because the negotiation it rested on could not be sourced. Today a negotiation can be sourced, and it is not the same one. Baghaei confirmed on the record that Iran is in bilateral talks with Oman on shipping lanes; Rubio confirmed US involvement in that channel and said there had been progress but 'not finality yet'; Bessent said a deal to open the strait might come 'today or tomorrow'. That is the first time in this war that Tehran and Washington have described the same negotiation as existing. It is also, on its face, less than the channel needs. Qatar's spokesman said no direct US–Iran talks are scheduled; the President's 'we are, in fact, talking' is still contradicted by the mediator and by Tehran; the deal is conditional on lifting a blockade Washington has not offered to lift; and the Minoan Pioneer was struck off Khasab on 4 August with a crew member missing. A stand-down cannot be found in a window that contains a vessel casualty. The correct read is that the downgrade path has moved from 'unsourceable' to 'real but unconsummated' in one session, and that the channel most likely to move first is maritime, not escalation.

(iv) US inflation impulse — held at 5 (max), and the forward is the last thing standing. 5Y5Y forward inflation closed 2.3180% on 4 August, a sixth consecutive close above the 2.30% trigger and a third consecutive decline from the 2.3597% war record. It has given back 4.17 bp in total. Set that against what everything else did in the same window: Brent gave back \$10.00, and the 10Y breakeven closed 2.2278% — **its first close below the 2.2569% pre-war anchor since 28 July**, having given back 5.68 bp from its 31 July high. Spot inflation compensation has fully round-tripped the war premium it built in July; the forward has given back a quarter of it. That divergence is the whole argument for this channel sitting at 5. A market that thought this was an energy shock would have taken the forward down with the crude. The downgrade — 5Y5Y sustained at or below the 2.142% anchor — is 17.6 bp away and not in play, though it is 2.0 bp closer than on Monday. At 5/5 the channel can only subtract, and today it did not.

(v) Political stress — held at 5 (max), the upgrade reinforced and the corroboration diverging. AUTMUSAG has backfilled 3 August at \$4.76, a **third consecutive confirmed close above the \$4.75 trigger** after 30 and 31 July. The 4→5 upgrade fired last edition is therefore better evidenced than when it fired, not worse. The series is blank for 4 and 5 August — three of the last five sessions dark — and is flagged rather than carried. The more interesting development is corroborative: the DOE weekly series flagged as missing last edition has backfilled at \$4.079 for the week to 3 August, down 1.7 cents from \$4.096, matching EIA's own release to the tenth of a cent, and AAA's separately published regular-grade national average printed \$4.089 on 4 August against \$4.099 a week earlier. **The corroborating retail series are easing while the scored series holds at its highs** — the first such divergence since June. Two things follow. First, the upgrade stands on three confirmed closes and hysteresis requires a sustained reversal past a wider threshold to undo it, so an easing corroborator does not reverse it. Second, the next AUTMUSAG print is now a genuine test rather than a formality. What is not easing is diesel: EIA had on-highway diesel at \$5.348 for the week to 3 August, and refining rather than crude remains the binding constraint on the pump — which is why Brent at \$77.93 does not disarm this channel.

(vi) Maritime denial — held at 5 (max), and this is now the channel most likely to move next. The strait is closed on day 157 and the traffic data is not close to the downgrade condition on any tracker: Kpler has 106 all-crossings in the week to 2 August against 98 the week

before with about 41% route-undetermined; Windward logged 12 identified transits in the 24 hours to 2 August with half of them dark; TankerMap counted 2 tanker transits on 3 August and none at all on 4 August; CBS News reports 45 commercial vessels redirected since the blockade was reinstated. Against a pre-war baseline that different sources put anywhere between 73 and 130 crossings a day, none of these readings is within reach of traffic above 25% of normal for ten sessions. What has changed is the instrument. A signed Iran–Oman corridor agreement — inbound via an Iranian-controlled route, outbound via an Omani-controlled route, fees split — is exactly the event that starts that ten-session clock, and two cabinet-level US officials said on 4 August that it may be days or hours away. It is still unsigned, its implementation timeline is unresolved, and it is conditional on the US lifting its port blockade. The channel does not move on an announcement; it moves on ten sessions of verified traffic.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold B has LAPSED after four consecutive satisfied closes, and the refunding statement that quantifies the supply test lands hours after this snapshot.

Threshold A · 13 May 30Y auction, cleared 5.050% — the test is dated for today. Historical benchmark; the 9 July re-opening cleared 5.06% with a 0.3 bp stop-through. The 4 August close of 5.1743% is **12.43 bp above the May stop**, down from 17.74 bp on Monday and 22.24 bp at Friday's war-widest. Treasury said on Monday it expects to borrow **\$739bn of net marketable debt in July–September against the \$671bn projected on 4 May**, and \$628bn in October–December, on assumed cash balances of \$950bn at end-September and \$850bn at end-December. The quarterly refunding statement follows at **8:30am ET today, Wednesday 5 August** — after this snapshot and not in this edition — against 6 May guidance holding coupon sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn 'for at least the next several quarters'. The 30Y leg auctions in the week of 10 August. The specific sequence that would make Threshold A live rather than historical is unchanged: a coupon-size increase today, followed by a weak 30Y leg next week, into a long end still 57 bp above its pre-war anchor. Tuesday's 5.8 bp rally is the market betting that does not happen.

Threshold B · 30Y above 5.20% with 10Y above 4.65% — NO LONGER SATISFIED. The run was 29 July 5.2007% / 4.6773%, 30 July 5.2135% / 4.6733%, 31 July 5.2724% / 4.7347% (both war records) and 3 August 5.2274% / 4.6755%. On **4 August both legs failed together for the first time since 28 July**: 5.1743% is 2.57 bp below its leg and 4.6126% is 3.74 bp below its own. This morning's 5.1806% and 4.6228% keep it unsatisfied on a second session. Three qualifications belong with this. First, a persistence threshold that lapses after four closes has done its job — it warned, and the warning has partially unwound; it has not been falsified. Second, the unwind was a risk-premium unwind across every asset in the same session, not a repair of the fiscal arithmetic that armed the threshold: Treasury still needs \$68bn more this quarter than it said in May. Third, the threshold can re-arm on a single bad auction, and the auction is next week. The correct reading is that the long end has bought itself a fortnight, not that the test has passed.

Threshold C · MOVE above 130. Far off, and easing for a second session. The index closed 77.56 on 4 August, down 2.92 and 5.46 below Friday's 83.02, its lowest since 30 July. That leaves 52.44 pts to the threshold and keeps it well under the 115.02 war high of 26 March, so C is not close. The observation that matters is the other one: at 77.56 the index is only **2.56 pts above the 75 line** that forms the second leg of the Treasury downgrade, the narrowest since 29 July. For the first time in the war the two Treasury downgrade legs are simultaneously within a fortnight's ordinary range of each other — but they must be satisfied together, and the 30Y is still 17.43 bp above its own. There is no 5 August print and the number is flagged rather than carried as fresh.

2.3 · Cross-asset

The cross-asset signature this session is a single, coherent, one-directional de-risking — and it is the exact mirror of last Friday. Every field in the extract came in below the value published for it yesterday morning except one: Brent \$77.93 against \$81.92, WTI \$74.40 against \$78.66, TTF €55.921 against €58.260, the 30Y 5.1743% against 5.2327%, the 10Y 4.6126% against 4.6858%, the 2Y 4.1917% against 4.2519%, 5Y5Y 2.3180% against 2.3376%, MOVE 77.56 against a carried 80.48, DXY 99.858 against 100.011. The single exception is VIX, up 0.64 to 16.50. On 31 July every field came in ABOVE the snapshot and Brent was \$1.97 higher; on 4 August every field came in below and Brent was \$3.99 lower. Those are the two largest reconciliation gaps this monitor has recorded, four sessions apart, in opposite directions. What that says is not that the snapshot is unreliable in a random way — it is that the US session is now doing all the price discovery, in one direction per day, on headlines that land after Singapore closes. Underneath the move, the routing signature is intact and strengthening: Henry Hub at \$2.693 is 12.1% BELOW pre-war and its 4 August close is the lowest since 29 April, while Asia LNG rose to ¥3,440 and TTF fell for a third session. US gas is not participating in this war, which is the clearest evidence available that it remains a Hormuz-routing shock rather than a global-energy shock. The reading to take is that the market has priced a strait reopening it has not yet been shown.

3 · Shock score

Total: 27/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max) — and now the channel most likely to move next. Strait closed to commercial traffic, day 157. Kpler has 106 all-crossings in the week to 2 Aug against 98 the week before (+8%), ~41% route-undetermined; Windward logged 12 identified transits in the 24h to 2 Aug, 6 dark, and 312 GPS-jammed vessels in the Gulf; TankerMap counted 2 tanker transits on 3 Aug and ZERO on 4 Aug; CBS reports 45 vessels redirected since the blockade was reinstated. Iran and Oman confirm a live corridor negotiation and two US cabinet officials say a deal may be days away — but nothing is signed.	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4. A signed Iran–Oman corridor agreement starts that clock; the 4 Aug statements do not.
Oil price shock	2/5	Held at 2 — the only channel that can raise the score, and now closer to falling than rising. Last confirmed close \$77.93 (4 Aug), \$17.07 below the \$95 trigger and \$5.45 above the \$72.48 anchor, the narrowest since 10 Jul ; intraday \$77.76 in a 71-cent range entirely below Tuesday's close. Brent has fallen \$10.00 in two sessions, the largest such fall since 6 May. Physical supply unchanged: effective spare capacity ~0.17 mb/d, Jizan out to ~15 Aug, Abqaiq and Damietta unreported.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close at/below the \$72.48 anchor → to 1. The price leg is within reach; the pause leg is NOT met — a corridor negotiation is not a pause and a vessel was struck on 4 Aug.
US inflation impulse	5/5	Held at 5 (max). 5Y5Y closed 2.3180% on 4 Aug, a SIXTH consecutive close above the 2.30% trigger and a third consecutive decline from the 2.3597% war record — but it has given back only 4.17 bp while Brent gave back \$10.00 and the 10Y breakeven closed 2.2278%, its first close BELOW the 2.2569% pre-war anchor since 28 Jul. Spot compensation has round-tripped the war premium; the forward has not.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (17.60 bp away on the last close, 2.0 bp closer than Monday).
Treasury stress	5/5	Held at 5 (max) — but Stage-4 Threshold B has LAPSED . The 30Y closed 5.1743% and the 10Y 4.6126% on 4 Aug, failing both legs together for the first time since 28 Jul and ending a four-close run that included two war records. The 30Y is 12.43 bp above the 13 May auction stop, down from 17.74 bp. MOVE fell 2.92 to 77.56, its lowest since 30 Jul. The refunding statement lands 8:30am ET today against Monday's \$739bn borrowing estimate; the 30Y leg auctions the week of 10 Aug.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4. Both legs still fail, by 17.43 bp and 2.56 pts — narrowed from 22.74 bp and 5.48 pts on Monday.
Political stress	5/5	Held at 5 (max), and the upgrade is reinforced. AUTMUSAG has BACKFILLED 3 Aug at \$4.76 — a third consecutive confirmed close above the \$4.75 trigger after 30 and 31 Jul. Blank 4 and 5 Aug, flagged not carried. Corroboration is now diverging: the DOE weekly backfilled at \$4.079 for the week to 3 Aug, down 1.7c, and AAA's own regular-grade average printed \$4.089 on 4 Aug. Diesel is not easing — EIA on-highway diesel \$5.348.	↑ at max. ↓ sustained retreat toward the \$3.52 pre-war level → to 4 then 3. \$1.24 above the anchor; hysteresis requires a sustained reversal past a wider threshold.
Escalation risk	5/5	Held at 5 (max). The downgrade candidate is RE-OPENED on a different track from the one revoked yesterday, and again not taken. Baghaei confirmed bilateral Iran–Oman talks on shipping lanes; Rubio said there is progress 'but not finality yet'; Bessent said a deal to open the strait may come 'today or tomorrow'. Against that: Qatar says no direct US–Iran talks are scheduled, the deal is conditional on the US lifting its port blockade, and the bulk carrier Minoan Pioneer was struck off Khasab on 4 Aug with one crew member missing.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Requires a signed instrument or a convened session, mediator confirmation, and a sustained window with no vessel casualties.
TOTAL	27/30	CRISIS band — HELD. No channel moved . Five of six channels are maxed and only oil, at 2/5, can raise this number. The composition changed even though the total did not: Stage-4 Threshold B lapsed, the oil downgrade anchor came within \$5.45, and a corridor negotiation both sides confirm became the first credible route to a maritime downgrade. For the first time in the war the balance of risks around this score is tilted DOWN rather than up — conditional entirely on an unsigned agreement.	

4 · What's changed since the last edition (4 Aug AM → 5 Aug AM)

Score holds at 27/30; no channel moved. Stage-4 Threshold B lapses. Brent falls \$10.00 in two sessions. Iran confirms an Oman corridor negotiation. A bulk carrier is struck off Khasab. Source: Bloomberg unless stated.

Stage-4 Threshold B is no longer satisfied, after four consecutive closes including two war records. The 30Y closed 5.1743% and the 10Y 4.6126% on 4 August, failing both legs of the 30Y-above-5.20%-with-10Y-above-4.65% test together for the first time since 28 July. The run it ends was 29 July 5.2007% / 4.6773%, 30 July 5.2135% / 4.6733%, 31 July 5.2724% / 4.7347% and 3 August 5.2274% / 4.6755%. This morning's 5.1806% and 4.6228% keep it unsatisfied on a second session. The Treasury channel does not move — it is at its maximum and its downgrade needs a 30Y close under 5.00% with MOVE under 75, which still fail by 17.43 bp and 2.56 pts. Source: Bloomberg.

Brent fell \$10.00 in two sessions to its lowest close since 10 July, and the oil downgrade anchor is now \$5.45 away. The 4 August close of \$77.93 is \$3.16 below Monday and \$10.00 below Friday's \$87.93 — the largest two-session decline since 6 May. It is \$17.07 below the \$95 upgrade trigger and \$5.45 above the \$72.48 downgrade anchor, the narrowest that gap has been since 10 July. WTI's \$74.40 close is likewise the lowest since 10 July. The channel holds at 2 because the downgrade needs a mediated pause as well as the price, and there is no pause. Source: Bloomberg.

Iran publicly confirmed a negotiation for the first time in this war — with Oman, not with Washington. Foreign ministry spokesman Esmaeil Baghaei said on 4 August that Tehran is in bilateral talks with Oman on establishing safe inbound and outbound shipping lanes, respecting Iranian sovereignty and both states' security needs, and that results would be announced only once concluded. AP and CBS News report the architecture as inbound via an Iranian-controlled route and outbound via an Omani-controlled route with security and environmental fees split, broad outlines agreed, implementation timeline unresolved, and the whole conditional on Washington lifting its

blockade of Iranian ports. Secretary of State Rubio said there had been 'progress made in those talks, but not finality yet'. Source: AP / CBS News / ABC News / Al Jazeera.

Two US cabinet officials publicly forecast a strait deal within days, while Qatar said no US-Iran talks are scheduled. Treasury Secretary Bessent told CNBC on 4 August: 'There is a chance we may have a deal today or tomorrow to open the strait,' and on tolls, 'I think it would be freedom of movement.' President Trump said 'we are, in fact, talking' and attributed his cancellation of the strike package to pressure from Qatar, Saudi Arabia and the UAE. Qatar's foreign ministry spokesman Majed al-Ansari said the same day that no direct US-Iran talks are currently scheduled and that Qatar, Oman and Pakistan are working jointly to create appropriate conditions. Washington is talking up a deal it is not formally party to. Source: CNBC via AP / ABC News / CBS News.

A bulk carrier was struck in the strait, with one crew member missing. The Liberian-flagged, Greek-owned Minoan Pioneer was struck by an unidentified projectile about 20 nm north-east of Khasab, Oman on 4 August, suffering a complete electrical blackout and a fire in the accommodation block; one crew member is missing and the cause is unattributed. Separately the Indian vessel MSV Faize Noore Oliya sank after a projectile strike near Yemen with all 14 crew rescued, and the Houthis claimed a drone strike on Najran airport in Saudi Arabia, which Aramco's chief executive said had no material impact on production. This is why the escalation channel is not downgraded on a negotiation. Source: CBS News / AP / Splash247 / Riviera Maritime.

Tuesday's reconciliation was the largest DOWNSIDE gap the monitor has recorded — the mirror of 31 July. Every field in the extract came in below the intraday value published for it yesterday except one. Brent \$77.93 against \$81.92 (-\$3.99); WTI \$74.40 vs \$78.66; TTF €55.921 vs €58.260; 30Y 5.1743% vs 5.2327% (-5.84 bp); 10Y 4.6126% vs 4.6858% (-7.32 bp); 2Y 4.1917% vs 4.2519% (-6.02 bp); 5Y5Y 2.3180% vs 2.3376%; BE10 2.2278% vs 2.2603%; DXY 99.858 vs 100.011; MOVE an actual 77.56 against a carried 80.48. The exception is VIX, an actual 16.50 against a carried 15.86. Four sessions ago every field came in ABOVE the snapshot. Source: Bloomberg.

The DOE gasoline weekly backfilled and turned DOWN, while the scored series backfilled a third close above its trigger.

AUTMUSAG has backfilled 3 August at \$4.76 — a third consecutive confirmed close above the \$4.75 political trigger, reinforcing the 4→5 upgrade fired last edition. USFRUSA has backfilled the week to 3 August at \$4.079, down 1.7 cents from \$4.096, and it matches EIA's own Gasoline and Diesel Fuel Update released 4 August to the tenth of a cent. AAA's separately published regular-grade national average printed \$4.089 on 4 August against \$4.099 a week earlier. The corroborating series are easing while the scored series holds — the first divergence since June. Source: Bloomberg / EIA / AAA.

Correction: the 4 August edition mis-read a narrow snapshot range as a quiet session. The session was violent. That edition wrote that Brent's 'very narrow intraday range of 74 cents' showed the market had 'stopped trading headlines'. The full 4 August session ran a \$6.13 range, from \$83.35 to \$77.22, the second-widest of the last fortnight after 31 July's \$6.74, and closed \$3.99 below the snapshot. The snapshot range measures the Singapore morning and carries no information about the US session. That inference is withdrawn. Source: Bloomberg.

Correction: the strike-planning story was Tier 1 from the start, and the crediting in the last two editions was wrong. The 3 August edition carried US/Israeli planning against Iranian civilian energy infrastructure as a single-outlet Al Jazeera item, and the 4 August edition credited CBS News with corroborating it. Re-verification finds the story originated with Axios (Barak Ravid) on 31 July, reporting that Trump was considering strikes on Iranian energy infrastructure including power plants and bridges within days, sourced to a US official and to Trump's own cabinet remarks; the Wall Street Journal reported the same day that an attack had been ordered for that weekend. Al Jazeera's 1 August piece explicitly attributed the claim to 'major US media outlets' and was derivative. The correct status is: Tier 1 from the outset, and SHELVED on 2 August when Trump cancelled the package — not disavowed. No Tier 1 outlet has reported its revival and no US official has denied it. Source: Axios / WSJ / Al Jazeera / Washington Post / NBC News.

Correction: the Iraqi militia deadline is NOT corroborated above Tier 3, and there is one date, not two. The 4 August edition promoted this item, citing Rudaw for a 7 August deadline and Ynetnews for a 6 August Kataib Hezbollah deadline. Re-verification finds the 7 August date originated with Press TV on 29 July — Tier 3 — with regional Tier 2 pickup by Shafaq News, Rudaw and Middle East Monitor on 30 July. No Tier 1 outlet carries either date. The 6 August date could not be re-sourced. The item reverts to Tier 3 origination with Tier 2 pickup, exactly as the 3 August edition had it, and should not be used for anything market-moving. Source: Press TV (Tier 3) / Shafaq / Rudaw / MEMO.

US data on 4 August was soft-to-neutral; the two tests that matter land today, after this snapshot. JOLTS job openings for June were little changed at 7.4 million, with hires 5.3m, quits 3.2m and layoffs 1.8m all unchanged. The June goods and services trade deficit narrowed 5.6% to \$73.3bn from a revised \$77.6bn. ISM manufacturing for July, released 3 August, printed 55.6 with the prices index at 71.1, its 22nd consecutive monthly increase. The Treasury quarterly refunding statement is due 8:30am ET today and the EIA Weekly Petroleum Status Report at 10:30am ET — the first EIA weekly since the 24 July print, which had SPR at 307.7 mb after a 3.7 mb draw. Neither is in this edition. Source: BLS / BEA / ISM / US Treasury / EIA.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Return to full war	33%	Lower, and for the first time since 30 Jul it is falling rather than rising — though still the modal path. The strike package was cancelled on 2 Aug and no Tier 1 outlet has reported its revival; CENTCOM has issued no strike release since 29 Jul, seven days; and Trump attributed the cancellation to pressure from Qatar, Saudi Arabia and the UAE. Reuters and CBS report the US has expended 'virtually all' of its ATACMS and Precision Strike Missiles, which the Pentagon disputes but which bears on capacity for a sustained campaign.	Brent \$105–140; MOVE above 90; oil to 3–4; score 28–29 (only oil can rise).
Deal collapse — talks stall on terms	28%	Higher, and now the largest non-war line. The Iran–Oman corridor track is real and confirmed by both sides, which is exactly why its failure conditions are now specific rather than hypothetical: it is conditional on Washington lifting its port blockade, which no US official has publicly committed to; Rubio says 'not finality yet'; Baghaei says results will be announced only once concluded; and the toll question — Bessent's 'freedom of movement' against Iranian fee proposals — is unresolved.	Brent \$88–105; oil back toward 3; Threshold B re-arms; score 28.
Contained but violent — blockaded stalemate	17%	Higher. The strait is shut on day 157 with TankerMap counting zero tanker transits on 4 Aug, a bulk carrier was struck off Khasab with a crew member missing, and the score sits at 27 regardless because five of six channels are pinned at 5. This is the path in which the market's repricing turns out to have been premature and nothing in the score reflects it.	Brent \$75–90; MOVE 72–82; risk premium \$3–12/bbl; score holds 27.
Mediated pause — the strait reopens	11%	Sharply higher, from the 5% low it hit yesterday, on the first negotiating track of this war that both governments confirm. Two US cabinet officials said on 4 Aug a deal could land within days. A signed corridor agreement starts the ten-session maritime clock and would give the oil downgrade its missing leg with the price already \$5.45 from the anchor. It remains unsigned, undated and conditional.	Brent \$70–80; MOVE under 75; maritime→3–4 on verified traffic, oil→1, escalation→4; score falls toward 21–23.
Regional relapse — Gulf energy infrastructure hit	11%	Lower. No confirmed strike on Gulf energy infrastructure on 4–5 Aug; Aramco's chief executive said recent Houthi attacks had no material impact on production capability. The exposure is unchanged rather than removed: Jizan out to about 15 Aug, Abqaiq and Damietta unreported since late July, effective spare capacity ~0.17 mb/d, and a 7 Aug Iraqi militia deadline that remains Tier 3 in origin.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.

Probability shifts from the 4 Aug edition: mediated pause +6 (5→11), the largest single rise, because a corridor negotiation that both governments confirm replaced one that neither could evidence; full war –7 (40→33) on the cancelled strike package, seven days without a reported strike and Gulf-state pressure on Washington; deal collapse +2 (26→28) and now the largest non-war line, because a real negotiation has real and specific failure conditions; contained-but-violent +1 (16→17) on zero tanker transits and a vessel casualty; regional relapse –2 (13→11) on no confirmed infrastructure strike and Aramco's statement. Probabilities sum to 100. The balance of this map has tilted toward de-escalation for the first time since 30 July, and it rests entirely on an unsigned agreement.

6 · Watchlist · next 24 to 72 hours

The Treasury quarterly refunding statement, 8:30am ET today — it lands hours after this snapshot. Monday's estimate put July–September net marketable borrowing at \$739bn, \$68bn above the 4 May projection of \$671bn, with \$628bn guided for October–December. The 6 May refunding held coupon sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn and promised no increase 'for at least the next several quarters.' Whether that guidance survives a \$68bn upgrade is the question, and the 30Y refunding leg auctions in the week of 10 August. Note the positioning: the 30Y closed 5.3 bp lower into the statement and let Stage-4 Threshold B lapse in the process. If the guidance breaks, that lapse reverses quickly.

Whether the Iran–Oman corridor agreement is actually signed — Bessent said 'today or tomorrow'. This is the single event that could move two channels. A signed instrument starts the maritime downgrade clock (traffic above 25% of normal for ten sessions) and supplies the mediated-pause leg the oil downgrade needs, with the price already \$5.45 from the \$72.48 anchor. What to verify before treating it as real: a signed or published instrument rather than a statement, Omani confirmation, what happens to the US blockade of Iranian ports on which the deal is conditional, and the toll mechanism. An announcement does not move a channel — the 3 August episode is the reference case.

The EIA Weekly Petroleum Status Report, 10:30am ET today — and the SPR line in particular. This is the first weekly since the 29 July print for the week to 24 July: crude 404.5 mb and about 6% below the five-year average, gasoline 211.3 mb and 7% below, distillate about 10% below, refinery utilisation 97.2%, and SPR 307.7 mb after a 3.7 mb draw. Refinery utilisation at 97.2% with distillate 10% below average is the mechanism that keeps the political channel elevated independent of crude, and it is the reason Brent at \$77.93 has not brought the pump down.

AUTMUSAG's next print, against a corroborating series that has turned down. The scored series has three consecutive closes above \$4.75 and has been blank for 4 and 5 August. The DOE weekly backfilled at \$4.079 for the week to 3 August, down 1.7 cents, and AAA's own regular-grade average printed \$4.089 on 4 August against \$4.099 a week earlier. Hysteresis means an easing corroborator does not reverse the upgrade, but a backfill materially below \$4.75 would change the read on how durable the break is. Watch diesel alongside it: EIA had

on-highway diesel at \$5.348 for the week to 3 August.

July payrolls on 7 August and July CPI on 12 August, into a market still pricing a September HIKE. The FOMC held on 29 July at 3.50–3.75% by 9–3 with all three dissents FOR a hike. Third-party FedWatch aggregators disagree materially — 82.4% on a September hike as of 27 July against 59% on 4 August — and no reading direct from CME Group could be sourced for 3–5 August, so the level is reported as unverified. ADP was due 5 August and ISM services on 6 August. Both payrolls and CPI land before the 15–16 September meeting, and 5Y5Y at 2.3180% says the market does not believe the inflation argument has been won.

The Minoan Pioneer follow-up, the 7 August Iraqi deadline, and three series to re-verify. The missing crew member and any attribution of the Khasab strike are the immediate items; UKMTO's last published advisory is Update 079 of 2 August and nothing dated 4 or 5 August could be sourced. The 7 August Iraqi Islamic Resistance deadline remains Tier 3 in origin with Tier 2 regional pickup and no Tier 1 corroboration — it is watched, not used. On the data side: JGLA has no 5 August print and is never carried forward; AUTMUSAG and SOFR are blank for 4 and 5 August; MOVE and VIX printed for 4 August but not 5 August.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 154 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; last confirmed close \$77.93 / \$74.40 on 4 Aug, intraday \$77.76 / \$74.17 with a Brent high of 77.78 and low of 77.07); COA/CLA Comdty (active, unscored — \$79.17 / \$75.44); NGA (\$2.693 intraday, the 4 Aug close of \$2.682 the lowest since 29 Apr), TZTA (€55.100 intraday, the lowest since 16 Jul) and JGLA (¥3,440 on the 4 Aug close; no 5 Aug print, flagged not carried); USGG2YR/5YR/10YR/20YR/30YR (**the 30Y closed 5.1743% and the 10Y 4.6126% on 4 Aug, failing BOTH Stage-4 legs together for the first time since 28 Jul**; 5.1806% / 4.6228% intraday); USYC2Y10 (+41.883 close, +41.879 intraday); USGGBE10 (2.2278 close, the first close below the 2.2569 pre-war anchor since 28 Jul; 2.2294 intraday); USGG5Y5Y (2.3180 close, a sixth consecutive close above the 2.30% trigger; 2.3171 intraday); SOFRRATE (last printed 3.65 on 3 Aug; blank 4 and 5 Aug, flagged not carried); MOVE (77.56 on the 4 Aug close, −2.92, lowest since 30 Jul; no 5 Aug print) and VIX (16.50, +0.64, highest since 30 Jul; no 5 Aug print); DXY (99.858 close, the lowest since 16 Jun, 99.850 intraday); AUTMUSAG (AAA all-grades pump — score reference; **3 Aug BACKFILLED at \$4.76, a third consecutive close above the \$4.75 trigger**; blank 4 and 5 Aug) and USRFRUSA (DOE regular spot, weekly — corroboration; **the week to 3 Aug BACKFILLED at \$4.079, down 1.7c from \$4.096**). **Data-integrity note:** the stale-row check clears. The 4 Aug row has refreshed and differs materially from the intraday values published for it (Brent \$77.93 against \$81.92; 30Y 5.1743% against 5.2327%; MOVE an actual 77.56 against a carried 80.48), so it is a true close and every trigger test in this edition runs off it. Two series backfilled this extract: AUTMUSAG for 3 Aug and USRFRUSA for the week to 3 Aug. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. AP, CBS News, ABC News and Al Jazeera (Baghaei on 4 Aug that Iran is negotiating bilaterally with Oman on safe inbound and outbound shipping lanes respecting sovereignty and both states' security needs, and that results will be announced only once concluded; the corridor architecture of inbound via an Iranian-controlled route and outbound via an Omani-controlled route with security and environmental fees split, broad outlines agreed, implementation timeline unresolved and the whole conditional on Washington lifting its blockade of Iranian ports; Pezeshkian that Iran will defend its borders but is 'not seeking to expand the war'; Araghchi's calls with his Pakistani and Omani counterparts); AP, ABC News and CBS News on Rubio ('there's been progress made in those talks, but not finality yet') and on Trump ('we are, in fact, talking'; the strike cancellation attributed to pressure from Qatar, Saudi Arabia and the UAE); CNBC via AP (Bessent — 'there is a chance we may have a deal today or tomorrow to open the strait' and, on tolls, 'I think it would be freedom of movement'); ABC News and CBS News (Qatar foreign ministry spokesman Majed al-Ansari — no direct US–Iran talks currently scheduled, with Qatar, Oman and Pakistan working jointly to 'create appropriate conditions'); CBS News, AP, Splash247 and Riviera Maritime (the bulk carrier Minoan Pioneer struck about 20 nm north-east of Khasab on 4 Aug, complete electrical blackout, fire in the accommodation block, one crew member missing, cause unattributed; the MSV Faize Noore Oliya sinking near Yemen with all 14 crew rescued; the Houthis claim of a drone strike on Najran airport; Aramco's chief executive that recent Houthi attacks had no material impact on production; 45 commercial vessels redirected since the blockade was reinstated, 2 boarded and 2 disabled; Iraqi oil exports of just over 30 mn bbl for 4 Jul–4 Aug against a ~105 mn bbl pre-war monthly baseline); Reuters and CBS News (the US has expended 'virtually all' of its ATACMS and Precision Strike Missiles, disputed by Pentagon spokesman Sean Parnell); CENTCOM (no strike release since 29 Jul); UKMTO (JMIC Advisory Note Update 079 of 2 Aug; nothing dated 4 or 5 Aug); Kpler via Foreign Policy Journal (106 Hormuz crossings by 96 distinct vessels in the week to 2 Aug against 98 the week before, 43 of them route-undetermined), Windward (12 identified transits in the 24 hours to 2 Aug with 6 dark, and 312 GPS-jammed vessels in the Gulf, −39.4% on the seven-day average), TankerMap (2 tanker transits on 3 Aug and none on 4 Aug), straits.live (2 vessels on 2 Aug against a typical 73) and IMF PortWatch via straits.live (23 Jul, 10 vessels against an 88/day baseline); Marsh via S&P Global Commodity Insights of 22 Jul (war-risk cover 7.5–10% of hull value against 1–3% earlier); US Treasury and Reuters (the 3 Aug borrowing estimates — \$739bn for July–September against \$671bn projected on 4 May, \$628bn for October–December — and the refunding statement due 8:30am ET on 5 Aug); EIA (no new weekly at this snapshot; the 29 July print for the week to 24 July stands — crude 404.5 mb, gasoline 211.3 mb, refinery utilisation 97.2%, SPR 307.7 mb after a 3.7 mb draw — with the next release due 10:30am ET on 5 Aug; and the Gasoline and Diesel Fuel Update released 4 Aug showing regular \$4.079 and on-highway diesel \$5.348 for the week to 3 Aug); AAA (regular-grade national average \$4.089 on 4 Aug against \$4.095 on 3 Aug and \$4.099 a week earlier; diesel \$5.372); OPEC (the 2 Aug decision to add 188k b/d for September); IEA Oil Market Report of 10 July (effective OPEC+ spare capacity ~0.17 mb/d); Reuters citing IIR (Jizan targeted to restart about 15 August); BLS (JOLTS job openings 7.4 million for June, little changed; payrolls 7 Aug, CPI 12 Aug); BEA and Census (the June goods and services trade deficit narrowing 5.6% to \$73.3bn from a revised \$77.6bn); ISM (July manufacturing PMI 55.6 with prices at 71.1, released 3 Aug); Federal Reserve (the 29 July hold at 3.50–3.75%, 9–3 with three dissents for a hike).

Tier 3 — state media and combatant claims (labelled). Press TV originated the 7 August Iraqi Islamic Resistance deadline on 29 July; Shafaq News, Rudaw and Middle East Monitor picked it up on 30 July at Tier 2. The Houthi claim of a drone strike on Najran airport is a combatant claim, reported by CBS News but not independently confirmed. **Corrections and re-verifications this edition:** (i) the 4 August edition read a 74-cent Brent snapshot range as evidence the market had 'stopped trading headlines' — the full session ran a \$6.13 range and closed \$3.99 below the snapshot, and that inference is WITHDRAWN; (ii) the report of US/Israeli planning against Iranian civilian energy infrastructure, carried on 3 August as a single-outlet Al Jazeera item and on 4 August as CBS-corroborated, in fact ORIGINATED at Tier 1 with Axios (Barak Ravid) and the Wall Street Journal on 31 July, before Al Jazeera's explicitly derivative 1 August piece — the correct status is Tier 1 from the outset and SHELVED on 2 August when the package was cancelled, neither revived nor denied since; (iii) the Iraqi militia deadline, promoted on 4 August to 'corroborated above Tier 3' on Rudaw and Ynetnews with two dates, REVERTS to Tier 3 origination with

Tier 2 regional pickup — no Tier 1 outlet carries the 7 August date and the 6 August date could not be re-sourced; (iv) an AP-derived summary suggesting the Iran–Oman talks were ‘roughly two weeks away’ from conclusion did not survive a direct re-fetch of the AP text and is NOT used; (v) the AAA all-grades series scored by this monitor (\$4.76) and AAA’s own published regular-grade national average (\$4.089) are different series on different bases — the gap is structural and long-standing, not an error, and neither is re-based.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (5 Aug, Wednesday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; DXY resolves as DXY Index). The stale-row integrity check CLEARS: the 4 Aug row has refreshed with true closes that differ materially from the intraday values published for it — in the same direction on every field but one. Two series BACKFILLED: AUTMUSAG for 3 Aug at \$4.76 and USRFRUSA for the week to 3 Aug at \$4.079. Currently dark and flagged, not carried: JGLA (no 5 Aug print), AUTMUSAG and SOFR (blank 4 and 5 Aug), MOVE and VIX (no 5 Aug print).
2	Recompute deltas	d/d vs the 4 Aug close; w/w vs the close five trading sessions back (29 Jul this edition); vs-pre-war against the 27 Feb 2026 anchor, re-verified field by field and unchanged.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. No channel moved; the score holds at 27/30. Oil held at 2 (last close \$77.93, \$17.07 below \$95 and \$5.45 above the \$72.48 anchor — the pause leg is not met). US inflation held at 5 (5Y5Y closed 2.3180%, a sixth consecutive close above 2.30%). Treasury held at 5 — but Stage-4 Threshold B LAPSED on the 4 Aug close. Political held at 5, reinforced by a third close above \$4.75. Maritime and escalation are event-based and both maxed; the escalation downgrade candidate is re-opened on the Iran–Oman track and not taken, because a vessel was struck in the strait inside the window.
4	Reconcile against the prior edition	Tuesday’s US session moved every field below the Singapore-morning snapshot except one — the largest downside gap the monitor has recorded, four sessions after the largest upside one. My 4 Aug intraday Brent \$81.92 versus the \$77.93 close (–\$3.99); WTI \$78.66 vs \$74.40 (–\$4.26); COA \$84.63 vs \$79.36; TTF €58.260 vs €55.921; Henry Hub \$2.768 vs \$2.682; 30Y 5.2327% vs 5.1743% (–5.84 bp); 10Y 4.6858% vs 4.6126% (–7.32 bp); 2Y 4.2519% vs 4.1917% (–6.02 bp); 2s10s +43.40 vs +41.88 bp; BE10 2.2603% vs 2.2278% (–3.25 bp); 5Y5Y 2.3376% vs 2.3180% (–1.96 bp); DXY 100.011 vs 99.858 (–0.153); MOVE a carried 80.48 vs an actual 77.56 (–2.92). The exception: VIX a carried 15.86 vs an actual 16.50 (+0.64).
5	Update scenarios and watchlist	Re-rank catalysts: the refunding statement and the EIA weekly both land today after the snapshot; whether the Iran–Oman corridor agreement is signed is the single event that could move two channels; AUTMUSAG’s next print now tests durability against an easing corroborator; payrolls 7 Aug and CPI 12 Aug precede the 15–16 Sep FOMC; the Minoan Pioneer follow-up and the Tier 3 7 Aug Iraqi deadline. Mediated pause 5→11, full war 40→33, deal collapse 26→28, contained-but-violent 16→17, regional relapse 13→11.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold, deliberately, to avoid whipsawing. This edition tests the rule from the de-escalation side for the first time. Brent fell \$10.00 in two sessions and the long end rallied enough to drop Stage-4 Threshold B out of satisfaction, while a negotiation both governments confirm appeared for the first time in the war — and no channel moved, because the oil downgrade needs a pause as well as a price, and the maritime downgrade needs ten sessions of verified traffic rather than a cabinet official’s forecast. The 25–26 June whipsaw and the 3 August announcement that never became an event are the two reference cases, and both point the same way. A one-session repricing is not a regime change.

Scale cap — binding on five of six channels, and now cutting the other way. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, Treasury since 14 July, US inflation since 31 July and political stress since 4 August. **Only oil, at 2/5, retains any upward range** — three points in a thirty-point scale. The consequence readers have been asked to hold for a month is that further geopolitical deterioration cannot raise this score. This edition surfaces the mirror image: a genuine de-escalation cannot lower it either, until it has persisted long enough to move an event channel off its maximum. Brent fell \$10.00, Threshold B lapsed, and the score did not move a point. A flat 27 should be read as a saturated scale, not as a stable situation — and that now cuts in both directions.

Data integrity this edition. The stale-row check clears: the extract’s 4 August row refreshed properly and its closes differ materially from the intraday values published for it (Brent \$77.93 against \$81.92, the 30Y 5.1743% against 5.2327%, MOVE an actual 77.56 against a carried 80.48), so 4 August is a confirmed close and every trigger test runs off it. The \$9.8 check is a two-way test and its other side also reports: two series flagged as dark last edition have BACKFILLED — AUTMUSAG for 3 August at \$4.76 and USRFRUSA for the week to 3 August at \$4.079 — and the USRFRUSA backfill matches EIA’s own published release to the tenth of a cent, which is an external validation of the extract rather than only an internal one. Currently dark and flagged rather than carried: JGLA has no 5 August print, AUTMUSAG and SOFR are blank for 4 and 5 August, and MOVE and VIX printed for 4 August but not 5 August. Where third-party sources disagree materially — and the Hormuz transit trackers disagree by an order of magnitude on the same days, with pre-war baselines quoted anywhere between 73 and 130 crossings a day — the disagreement is reported rather than resolved by preference, and no average is taken across incompatible vessel universes. The Bloomberg extract governs for every scored series.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print \$4.76 on 3 August — backfilled in this extract and a third consecutive close above the \$4.75 trigger, following \$4.76 on 30 and 31 July and exactly \$4.75 on 24, 27, 28 and 29 July — with 4 and 5 August blank). USRFRUSA (DOE regular spot; pre-war ~\$2.94, peak \$4.50, latest \$4.079 for the week to 3 August, backfilled and down 1.7 cents) is tracked alongside as corroboration only. Neither series is re-based. A basis note that has become material now that the two are diverging: AUTMUSAG is an ALL-GRADES series and AAA’s own published

national average is REGULAR-grade, which printed \$4.089 on 4 August. The gap between them is structural and has run the whole history of this monitor — the same gap exists at the pre-war anchor, \$3.52 against ~\$2.94 — so a reader comparing the scored \$4.76 with a press report of \$4.09 is comparing different series, not finding an error. The trigger, the anchor and the full history are all set on AUTMUSAG and re-basing would invalidate them. EIA's on-highway diesel at \$5.348 for the week to 3 August is noted separately because the binding constraint on the pump is refining capacity rather than crude, which is why Brent at \$77.93 does not disarm this channel.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent +7.3%, WTI +10.7%, TTF +76.4%, Asia LNG +106.1%; the 30Y (+57.0 bp), 10Y (+68.5 bp), 5Y5Y (+17.5 bp), MOVE (+4.18) and DXY (+2.24) sit above their anchors; the 10Y breakeven (−2.8 bp), VIX (−3.36) and Henry Hub (−12.1%) are now all BELOW pre-war. That third group has grown by one this edition and is worth stating plainly: spot inflation compensation, equity volatility and US natural gas are all trading below where they were the day before the war started.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close. This edition and the 31 July one are now the two extremes of that problem, four sessions apart and in opposite directions: on 31 July every field closed ABOVE my snapshot and Brent was \$1.97 higher; on 4 August every field but VIX closed BELOW it and Brent was \$3.99 lower. The error is regime-dependent rather than random — it is large when the US session has something to trade and small when it does not — and the corollary, which the 4 August edition got wrong and this one corrects, is that a narrow range in the snapshot says nothing about the session: 4 August looked like a 74-cent morning and delivered a \$6.13 day. Recent Brent gaps between my snapshot and the subsequent close: −\$1.81, −\$2.01, −\$3.32, −\$0.84, +\$1.97, −\$0.47, −\$3.99. CL2 remains an artifact against active CLA, and the front-month/active gap has narrowed to \$1.41 in Brent as the new active contract converged; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.